

Annexure 5

Business Responsibility Report 2021-22

Section A: General Information about the Company

1. Corporate Identity Number (CIN) of the Company: L29269TZ1962PLC000463
2. Name of the Company: Lakshmi Machine Works Limited
3. Registered address: SRK Vidyalyaya Post, Perianaickenpalayam, Coimbatore 641 020
4. Website: www.lmwglobal.com
5. E-mail id: secretarial@lmw.co.in
6. Financial Year reported: 2021-22
7. Sectors that the Company is engaged in: Textile Spinning Machinery, CNC Machine Tools, Foundry Castings and Aerospace products.
8. List three key products/services that the Company manufactures: Textile Spinning Machinery, CNC Machine Tools, Castings and Aerospace Components
9. Total number of locations where business activity is undertaken by the Company:
The Company's plants are situated at the following locations:
International Locations: Nil
National Locations:
Textile Machinery Division:
Unit – I: Perianaickenpalayam, Coimbatore – 641 020
Unit – II: Kaniyur, Coimbatore - 641 659
Other Divisions:
Machine Tool Division: Arasur, Coimbatore - 641 407
Foundry Division: Arasur, Coimbatore - 641 407
Foundry and Machine Shop: Arasur, Coimbatore - 641 407
Advanced Technology Centre: Ganapathy, Coimbatore – 641 006
Windmill Division: Udumalpet (TK), Tirupur District
Solar Power Project: Kondampatti, Coimbatore District
10. Markets served by the Company -Local/State/National/International:
Lakshmi Machine Works Limited serves national as well as international markets.

Section B: Financial Details of the Company (2021-22)

Sl No	Particulars	Unit of Measure	Details
1	Paid up capital	(₹ Lakhs)	1,068.30
2	Total Turnover	(₹ Lakhs)	3,01,676.48
3	Total Profit after Taxes	(₹ Lakhs)	17,967.61
4	Total Spending on Corporate Social Responsibility (CSR) as a percentage of Profit after Tax	(in %)	LMW's spending in Corporate Social Responsibility is as per the amount mandated under Companies Act, 2013. LMW during the Financial Year 2021-22 has spent an amount of ₹308.63 Lakhs on CSR which is 1.72% of Profit after Tax.
5	List of activities in which expenditure as per point 4 above has been incurred		Refer Annexure 3 to Directors' Report

Section C: Other Details

1. Does the Company have any Subsidiary Company/ Companies?
Yes, Lakshmi Machine Works Limited has the following wholly owned subsidiary companies:

a. LMW Textile Machinery (Suzhou) Company Limited (LMWTMSCL), located at Yegang Road, Tongjin Avenue, Wujiang Economic Development Zone, Jiangsu Province, China.

b. LMW Aerospace Industries Limited (LMWASIL), located at SRK Vidyalyaya Post, Perianaickenpalayam, Coimbatore 641020, Tamil Nadu, India.

c. LMW Middle East FZE, located at RA08EC06, Jebel Ali Freezone, Dubai, United Arab Emirates.
2. Do the Subsidiary Companies participate in the Business Responsibility (BR) Initiatives of the parent company? If yes, then indicate the number of such subsidiary company(ies)

a. Incorporated and located as per local laws of People's Republic of China, LMWTMSCL does not participate in the BR initiatives of LMW.

b. LMWASIL has been incorporated on 16th March 2021 and is yet to commence operations.

c. LMW Middle East FZE was incorporated on 4th February 2022 as per the applicable laws of United Arab Emirates. This Company does not participate in the BR initiatives of LMW.
3. Do any other entity/entities (e.g. suppliers, distributors etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity/entities? [Less than 30%, 30-60%, More than 60%]

The Company encourages its suppliers, customers and other stakeholders to support various initiatives taken by the Company towards its business responsibility.

Section D: BR Information

1. **Details of Director / Directors responsible for BR:**

(a) Details of the Director/ Directors responsible for implementation of the BR policy/ policies

1. DIN Number: 00004505

2. Name: Sri Sanjay Jayavarthanavelu

3. Designation: Chairman and Managing Director

(b) Details of the BR head:

1. DIN Number: Not Applicable

2. Name: Sri V. Senthil

3. Designation: Chief Financial Officer

4. Telephone No: +91 422 719 2205

5. Email ID: senthil@lmw.co.in

2. **Principle-wise (as per NVGs) BR Policy/Policies**

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVGs) released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility.

These briefly are as under:

P1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
P2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle.
P3	Businesses should promote the well-being of all employees.
P4	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P5	Businesses should respect and promote human rights.
P6	Businesses should respect, protect and make efforts to restore the environment.
P7	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P8	Businesses should support inclusive growth and equitable development.
P9	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

LMW has in place the Business Responsibility Policy, a copy of which is available at the Company's website www.lmwglobal.com. This Policy addresses the 9 principles as per the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business. This Policy is applicable across the Company and ensures that the business practices are governed by these principles.

(a) Details of compliance (Yes (Y)/No(N))

Sr. No.	Questions	P1: Ethics and Trans- parency	P2: Sustain- able Products	P3: Well- being of employ- ees	P4: Respon- siveness to Stake- holders	P5: Respect Human Rights	P6: Environ- mental Respon- sibility	P7: Public policy advocacy	P8: Support inclusive growth	P9: Engage- ment with Custom- ers
1.	Do you have a policy / policies for:	Y	Y	Y	Y	Y	Y	N Note 1	Y Note 2	Y
2.	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	Not Applicable	N Note 3	Y
3.	Does the policy conform to any national/ international standards? If yes, specify? (50 words)	The spirit and intent of the Policies adopted by the Company capture the essence of all the applicable national and international laws. Hence the Company's policies are in conformity with national/international standards wherever applicable.								
4.	Has the policy been approved by the Board? If yes, has it been signed by MD/owner/ CEO/ appropriate Board Director?	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Y Note 4	Not Applicable	Y Note 4	Y Note 4
5.	Does the Company have a specified committee of the Board/Director/ Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	Not Applicable	Y	Y
6.	Indicate the link for the policy to be viewed online?	Y Note 5	Y Note 5	Y Note 5	Y Note 5	Y Note 5	Y Note 5	Not Applicable	Y Note 5	Y Note 5
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	Y	Y	Y	Y	Y	Y	Not Applicable	Y	Y
8.	Does the Company have in-house structure to implement the policy/ policies.	Y	Y	Y	Y	Y	Y	Not Applicable	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/ policies to address stakeholders' grievances related to the policy/ policies?	Y	Y	Y	Y	Y	Y	Not Applicable	Y	Y
10.	Has the Company carried out independent audit/ evaluation of the working of this policy by an internal or external agency?	Y	Y	Y	Y	Y	Y	Not Applicable	Y	Y

Notes:

1. The Company through various industry forums endeavors to promote growth and technological progress, economic reforms, inclusive development policies and sustainable business principles. Therefore, need for a formal policy has not been felt.
2. There is no separate policy but is included in the Company's CSR and Sustainability policy.
3. While there is no formal consultation with all stakeholders, the relevant policies have evolved over a period by taking inputs from concerned stakeholders.
4. Policies are as approved by the Board of Directors.
5. All Business Responsibility Report related policies are available on the Company's website www.lmwglobal.com

3. Governance related to BR:

- a. Indicate the frequency with which the Board of Directors, Committee of the Board or CEO assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, more than 1 year.

There is no defined frequency. Assessment is an ongoing exercise and is an inherent part of corporate functions.
- b. Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The Company does not publish a separate BR or Sustainability Report.

Section E: Principle-wise performance

Principle 1: Business should conduct and govern themselves with Ethics, Transparency and Accountability

1. Does the policy relating to ethics, bribery and corruption cover only the Company? Yes/ No. Does it extend to the Group / Joint Ventures/ Suppliers/ Contractors/ NGOs/ Others?

The Company has a well-defined Code of Conduct in place for Directors as well as for employees of the Company. The Company has no Joint Venture/ NGOs. The Company also has a separate Supplier Code of Conduct policy for its suppliers and vendor that provide the products and services.
2. How many stakeholder complaints have been received in the past Financial Year and what percentage was satisfactorily resolved by the management?

The Company has a well-established mechanism for receipt and resolution of stakeholder complaints. During the year under review the Company received a total of 1,770 complaints of which 1,490 have been resolved and the balance of 280 will be resolved during the course of time.

Principle 2: Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle

1. List up to 3 of your products or services whose design has incorporated social or environmental concerns, risks and / or opportunities.

Sl. No	Product	Social/Environmental Benefits
1.	Card Drafting System	Reduces raw material consumption resulting in lesser carbon footprint
2.	Draw Frame	Reduction in Raw Material Wastage
3.	CNC Vertical Machining Centre and Turning Centre	Optimal power utilisation

2. For each such product, provide the following details in respect of resource use (energy, water, raw material etc.) per unit of product (optional):
 - Enhancement of machinery efficiency results in reduction of Raw Material usage/wastage and also reduces consumption of electricity while being operational.
 - Product design with lesser use of parts and fewer castings.
 - Avoidance of paints and surface coating that adds to pollution.
3. Does the Company have procedures in place for sustainable sourcing (including transportation)? If yes, what percentage of your inputs was sourced sustainably?

Sourcing of input material for the product and of indirect material required for manufacturing has been continuously evolved with the concept of using only such material which can be recycled. This starts with design and selection of raw material/ manufacturing process. The learnings are then shared with suppliers to ensure effectiveness of the process.

The manufacturing processes are selected and improved year on year to consume lesser energy and resources. The Company encourages and implements wherever possible environmentally sustainable packing. The Company has also reduced transport instances over the years by consolidating shipments thereby reducing consumption of fossil fuels.
4. Has the Company taken any steps to procure goods and services from local & small producers, including communities surrounding their place of work? If yes, what steps have been taken to improve their capacity and capability of local and small vendors?

The Company as a policy ensures localization and outsourcing. Each of the Company's operational facility sources goods and services from suppliers who are competitive as well as close to its premises.

Localized vendors are preferred if they meet the quality specifications and Environment, Health & Safety (EHS) compliance. The Company focuses on increasing the capacity and capability of its suppliers. The Company provides required inputs to its suppliers on various system and quality tools used by the Company.

5. Does the Company have a mechanism to recycle products and waste? If yes what is the percentage of recycling of products and waste (separately as <5%, 5-10%, >10%).

The Company as an original equipment manufacturer mainly uses products which can be recycled at a later date.

The Company has a waste recycling system for processing production waste. About >10% production waste is recycled annually.

Water:

Sewage Treatment Plants are set up at facilities to recycle and treat wastewater in all the units of LMW. The hazardous process related units at LMW are equipped with ETP facilities to treat effluents. The Company maintains Zero Liquid Discharge (ZLD) status with two stage RO plant to recycle factory effluents. The recycled water is used for process and toilet flushing. The Company has installed Filter Press, RO plant for water treatment and agitated thin film drier at TMD-Unit 2 to increase the output quality of the treated water and thereby reduce hazardous waste generation. Nearly 210 neem tree saplings have been planted inside the factory premises to improve the green belt area inside the Company. The Company has installed 95 numbers of water saving taps to reduce the water consumption.

E-waste:

The E-waste generated includes obsolete computers, monitors, servers and other electronic/ electrical items. The same are stored at separate facilities before disposal and are being disposed for recycling through government authorized certified vendors.

Other waste:

100% of MS scrap and cast-iron scrap from manufacturing process is recycled through

briquetting and shredding and is being sent to foundry for melting. Waste sand from foundry process is recycled through the sand reclamation plant. Waste comprising of plastic, office waste, packaging and paper is given to vendors for recycling. Food waste generated in cafeterias is either given to the vendors to generate manure or is being used to manufacture animal feed. Around 1,015 number of batteries have been disposed to authorised dealers for recycling.

Principle 3: Businesses should promote the wellbeing of all Employees

1. Please indicate the total number of employees: 3,143
2. Please indicate the total number of employees hired on temporary/contractual/casual basis: 4,874
3. Please indicate the number of permanent women employees: 67
4. Please indicate the number of permanent employees with disabilities: 4
5. Do you have an employee association that is recognized by management? Yes
6. What percentage of your permanent employees are members of this recognized employee association? 42%.
7. Please indicate the number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the last financial year

Sl No.	Category	No. of complaints filed during the financial year	No. of Complaints pending as on end of the Financial Year
1	Child Labour/ Forced Labour/ Involuntary Labour	Nil	As a policy the Company is not engaging persons below 18 years of age. Also the Company has a Human Rights Policy which prohibits use of Forced Labour/ Involuntary Labour.
2	Sexual Harassment*	Nil	Nil
3	Discriminatory Employment	Nil	Nil

* The above may be treated as information pursuant to provisions of Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2015

8. What percentage of your under mentioned employees were given safety & skill up-gradation training in the last year?

Sl. No	Category	Percentage	
		Safety	Skill
A.	Permanent Employees		
	Workmen	19%	65%
	Staff	52%	71%
B.	Permanent Women Employees	42%	53%
C.	Casual/Temporary/ Contractual Employees	82%	91%
D.	Employees with Disabilities	100%	100%

Principle 4: Businesses should respect the interests of, and be responsive towards all Stakeholders, especially those who are disadvantaged, vulnerable and marginalized

1. Has the Company mapped its internal and external stakeholders? Yes
2. Out of the above, has the Company identified the disadvantaged, vulnerable & marginalized stakeholders? Yes
3. Are there any special initiatives taken by the Company to engage with the disadvantaged, vulnerable and marginalized stakeholders. If so, provide details thereof, in about 50 words or so.

The Company has always engaged itself in special initiatives with the disadvantaged, vulnerable and marginalized stakeholders. The Company engages for employment/work wherever possible physically disabled persons.

Principle 5: Businesses should respect and promote human rights

1. Does the policy of the Company on human rights cover only the Company or extend to the Group/Joint Ventures/Suppliers/Contractors/NGOs/Others?

Policies on Human Rights including the Code of Ethical Business Conduct, Anti-Sexual Harassment and the Whistleblower policies along with the Business Responsibility Policy covers all aspects on Human Rights for the Company and also extends to all stakeholders of the Company.
2. How many stakeholder complaints have been received in the past Financial Year and what percent was satisfactorily resolved by the Management? Nil

Principle 6: Businesses should respect, promote and make efforts to restore the environment

1. Does the policy related to Principle 6 cover only the Company or extends to the Group/Joint Ventures Suppliers/Contractors/NGOs/others.

LMW Environment Policy covers all manufacturing sites, employees and contractors of the Company.

2. Does the Company have strategies/ initiatives to address global environmental issues such as climate change, global warming, etc? If yes, please give hyperlink for webpage etc.

The Company has been successfully awarded with the GREENCO gold rating and has planned for platinum rating for its foundry units. Company's foundry units have received a Pressure Equipment Directive (PED) certification from TUV NORD as well.

The Company has planned to implement best practices like achievement of carbon neutrality, sustainable water management/use, minimal waste generation etc at all its units. As a part of the process, initiatives are being planned for better energy efficiency, water conservation, maximizing use of renewable energy, reduction in greenhouse gas emission, material conservation, waste management, green supply chain, life cycle assessment at all its units.

3. Does the Company identify and assess potential environmental risks?

Yes, the Company has a mechanism to identify and assess potential environmental risks at its units and related facilities.

4. Does the Company have any project related to Clean Development Mechanism? If so, provide details thereof, in about 50 words or so. Also, if yes, whether any environmental compliance report is filed?

All manufacturing locations are certified for requirements under ISO 14001 (Environmental Management System) and ISO 45001 (Occupational Health and Safety System). The system requirements are broad based by incorporating internal standards. Layered audits are carried out to check the level of compliance. Effective Deviation Management System ensures that the corrective actions are close-looped, and issues are addressed within a reasonable time frame.

The Environment, Health & Safety performance assessment is carried out annually at locations to establish the maturity levels. It is carried out by cross functional team assessing the performance over the past year. Based on the outcome, areas for improvement are identified and objectives are derived for the next year. Also, periodical Statutory Compliance Report is being submitted to the Board of Directors on a quarterly basis, while a yearly form is submitted to the Tamil Nadu Pollution Control Board.

5. Has the Company undertaken any other initiative on — clean technology, energy efficiency, renewable energy, etc. If yes, please give hyperlink of the web page etc.

- Technologies are used to reduce the impact on the environment. In the entire chain of manufacturing, the emphasis is on preserving natural resources. Processes are designed to minimize use of raw materials, water, energy and fossil fuels. The energy saved in the year 2021-22 is around 11.47 Lakh energy units.
- The Company has a policy of tapping non-conventional and renewable resources of energy namely wind power and solar power to meet with its energy requirements. The Company has a 10 MW Solar Power Generation Plant at Kondampatti, Coimbatore. The Company has also installed 28 windmills with a total capacity of 36.80 MW. Such details form a part of the Annual Report, a copy of which is available at www.lmwglobal.com.
6. Are the Emissions/Waste generated by the Company within the permissible limits given by CPCB/SPCB for the financial year being reported?
- Yes, the emissions / waste generated by the Company are within the permissible limits given by the State Pollution Control Board.
7. Number of show cause / legal notices received from CPCB/SPCB which are pending (i.e. not resolved to satisfaction) as on end of Financial Year: - Nil.

Principle 7: Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner

1. Is your Company a member of any trade or chamber or association? If Yes, name only those major ones that your business deals with:
- The Company is a member of many trade/chamber/associations. Some of them are:
- a. Confederation of Indian Industry
 - b. Federation of Indian Chambers of Commerce and Industry
 - c. Federation of Indian Export Organisation
 - d. Indian Chamber of Commerce and Industry
 - e. Textile Machinery Manufacturers' Association of India
 - f. Indian Machine Tool Manufacturers' Association
 - g. Society of Indian Aerospace Technologies and Industries
 - h. Indian Windpower Association
 - i. International Textile Manufacturers' Federation
 - j. The Institute of Indian Foundrymen

2. Have you advocated/lobbied through above associations for the advancement or improvement of public good? If yes specify the broad areas (like Governance and Administration, Economic Reforms, Inclusive Development Policies, Energy security, Water, Food Security, Sustainable Business Principles, Others)
- The Company participates in public advocacy with the objective of strengthening the industrial base of the country in the business segments that it operates by contributing ideas, best practices and sharing details of issues faced to enable its speedy resolution thereby benefiting the industry at large.

Principle 8: Businesses should support inclusive growth and equitable development

1. Does the Company have specified programmes / initiatives/projects in pursuit of the policy related to Principle 8? If yes details thereof.
- In line with the provisions of the Companies Act, 2013 and based on the recommendation of the Corporate Social Responsibility (CSR) Committee, the Board of Directors have adopted a CSR Policy. The CSR policy, inter-alia, deals with the objectives of the Company's CSR initiatives, the guiding principles, the thrust areas for CSR, responsibilities of the CSR Committee, implementation plan and the reporting framework.

The thrust areas of the Company's CSR activities are:

- a) Health, hygiene, and education.
- b) Vocational training focused on achieving employable skills.
- c) Rural infrastructure development.
- d) Village development programs.
- e) Neighbourhood projects as per the local needs identified.

Some of the initiatives taken during the year under review are:

I) Health and Safety:

- 1) Spinal injury surgery & rehabilitation:
- LMW collaborates with leading hospitals and rehabilitation centres to support the treatment of burn injuries, reconstructive surgery for road traffic accident patients, spine injury surgery, rehabilitation, and the socio-economic development through vocational skill development of the spinal cord injured patients from lower economic background. LMW has supported for the treatment of 31 patients during year 2021-22.

- 2) Sickle Cell Anemia Screening & Prevention Project:
- LMW in partnership with Nilgiris Adivasi Welfare Association (NAWA) implements the Sickle Anemia Screening and Prevention Project in the tribal areas of Anaikatti, Palamalai and Karamadai areas of Coimbatore District. People are screened for the prevalence of Sickle Cell Anemia which is a genetic disorder and is also hereditary. The identified patients are provided with the required nutritional supplements and medicines. Also, suitable counselling & awareness camps were conducted for persons diagnosed with Sickle Cell traits.
- 37 Sickle Cell Anemic patients and 205 persons with Sickle Cell traits were supported through this project during the year 2021-22.
- 3) Road Safety Campaign & Awareness Program:
- LMW collaborates with UYIR Trust, Coimbatore in promoting road safety awareness campaigns for preventing road traffic accidents in the city of Coimbatore. Under this program LMW supports maintenance of traffic signals & cameras in the Athipalayam Pirivu junction located in Coimbatore.
- 4) COVID-19 relief support:
- During the COVID-19 pandemic lockdown period, LMW has supported to the tune of ₹28.45 Lakhs NGOs namely Utkarsh, Annai Karangal Nala Sangam and Government bodies such as District Revenue Office, Kaniyur Panchayat in their efforts to provide meals to the needy. Further, cots and mattress worth ₹1.29 Lakhs were handed over as the Company's contribution towards the Government's efforts at establishing COVID-19 Care Centres in Coimbatore.

II) Village development program:

- 1) Solar streetlights:
- To improve basic facilities in tribal villages of Anaikatti Hills and to promote usage of green energy, 45 solar streetlights were installed during the year under review.
- 2) Livelihood enhancement program:
- For improving the income generation capacity of the tribals in Palamalai & Anaikatti Hills, twelve income generation training programs were conducted in Gopanari, Sorandi, Manguli, Pasumani, Arakadavu, Munukuttai, Kondanur Pudhur, Kuttaikadu, Govanur, Irrularpathi,

Alangandi villages. Agroforestry based tree plantation was promoted in 65 farmlands located in Kuliur, Arakadavu, Sorandi, Mannar, Govanur, Kuttaikadu, Alangandi and Gopanari villages through which 3,030 tree saplings were planted. 15 vermicompost production bags were distributed to the people trained by LMW.

LMW has actively assisted the villagers in their efforts to obtain financial subsidies from the Mahalir Thittam & Tamil Nadu Rural Transformation Projects of TN government through the Self-Help Group (SHG) model. Through this assistance, 8 SHGs received a total support of ₹7.55 Lakhs as loan/grant benefitting 88 individuals.

3) Veterinary checkup camps:

Animal husbandry is one of the major livelihood activities of people residing in the tribal villages of Palamalai & Anaikatti. Veterinary health check-up and vaccination camps were conducted in collaboration with Tamil Nadu Animal Husbandry Department. In total 74 such camps have been conducted through which 5,563 cattle, 1,739 goats, 594 poultry were treated.

III) Rural Infrastructure Development:

- 1) School Infrastructure Development:
- LMW has supported development of infrastructure facilities in rural area based government schools. School building repair, painting, laying floor tiles in classrooms & veranda, restroom renovation, provision of computers and equipment for smart classrooms are done through this project. Through this initiative the following schools were covered during the year 2021-22.
- a) Panchayat Union Primary School, Melpavi
 - b) Panchayat Union Primary School, Kasthuripalayam
 - c) Government High School, Idikarai
 - d) Corporation Middle School, Papanackennpalayam
- 2) Support for Housing Project:
- LMW has contributed towards the construction of individual houses to 15 beneficiaries in Palamalai under the Green House Scheme of the Tamil Nadu Government.

IV) Skill Development:

- LMW has supported Hosur Industries Association in establishing Vocational Skill Development Training Centre in Hosur. Two advanced CNC machines were installed in the centre by LMW for CNC machine operator training course for the students enrolling in the centre.
2. Are the programmes / projects undertaken through in-house team/own foundation/external NGO/ government structures /any other organization?
- The Company's Corporate Social Responsibility projects are implemented through an internal team as well as in partnership with Non-Governmental Organizations (NGOs) and Government Institutions, wherever applicable/necessary.
3. Have you done any impact assessment of your initiative?
- Yes, the Company has voluntarily conducted impact assessment of its CSR Initiatives. Dedicated resources are deployed to understand the effectiveness and the impact that initiatives have on the beneficiaries.
4. What is your Company's direct contribution to community development projects and the details of the projects undertaken?
- Please refer to **Annexure 3** of the Board of Directors' Report to Shareholders.
5. Have you taken steps to ensure that this community development initiative is successfully adopted by the Community?
- The Company ensures its presence is established right from the commencement of the initiatives. It collaborates with the communities right from need identification to project implementation phase. The Company has extensive engagement with various stakeholders. The feedback from the stakeholders are analysed and various actions are prioritized.

Principle 9: Businesses should engage with and provide value to their customers and consumers in a responsible manner

1. What percentage of customer complaints/ consumer cases are pending as on the end of financial year.
- About 15.82 percent of customer complaints are pending as on the end of the financial year. The Company is undertaking steps to resolve the pending issues on a timely basis.
2. Does the Company display product information on the product label, over and above what is mandated as per local laws?
- Yes, apart from the mandated declarations, additional declarations are furnished on the products/ labels relating to the products and their safe usage.
3. Is there any case filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years and pending as on end of financial year.
- Nil.
4. Did your Company carry out any consumer survey / consumer satisfaction trends?
- Yes. Customer feedback and opinions are collected on a real time basis at frequent intervals.

By order of the Board
Sanjay Jayavarthanavelu
Chairman and Managing Director
(DIN: 00004505)

Place : Coimbatore
Date : 11th May 2022

CORPORATE GOVERNANCE REPORT

In compliance with Regulation 34(3) read with Schedule V of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

1. PHILOSOPHY ON CODE OF GOVERNANCE:

Lakshmi Machine Works Limited ("LMW"/ "Company") corporate vision is to ensure a sustainable business that delights the customer, thrives to maintain the market leadership and at the same time enhances value for every stakeholder. To achieve this, systematic and planned efforts are undertaken by the Company considering the organization's core values and business ethics. LMW consistently partners with its customers to deliver quality products/services on time and at reasonable prices. LMW believes in ethical conduct of business and maintains transparency and accountability in its activities as well as ensures compliance with all applicable laws. LMW is also aware of the fact that its ability to meet significant corporate goals is influenced by the extent to which prudent corporate governance policies are devised and adhered to within the organization. LMW consistently emphasizes its commitment towards creation, monitoring and continuous upgradation of a strong corporate governance policy and practice that will define and drive the organization's performance as per its cherished values and commitment to each stakeholder.

2. BOARD OF DIRECTORS:

The Board provides leadership, strategic guidance, and objective judgment in the conduct of affairs of the Company. The Board upholds the vision, purpose, and values of the Company. The Board consists of experienced specialists who are experts in their respective business/profession and have decades of experience to their credit. As a Board, the Directors are committed to ethical and lawful conduct of business and possess the ability to steer the affairs of the Company in the right direction. The Board places emphasis on highest standards of governance practice which allows the Company to carry on its business in the long-term interest of all stakeholders.

To ensure effective participation of all Directors, as a matter of practice, an annual calendar for Board, Committees of the Board and General Meeting(s) of the Company are determined and intimated to the Directors

well in advance. The Company ensures that timely and relevant information is made available to all Directors in advance, to facilitate their effective participation and contribution during meetings and deliberations.

The Board determines strategic policies, approves annual plans & budgets, capital expenditure, new projects, investment plans, conducts performance review, ensures statutory compliance, and risk management, etc., periodically. A minimum of four meetings of the Board of Directors is held each year, one meeting is held in each quarter and it is ensured that the gap between two meetings does not exceed 120 days. Various Committees of the Board also meet as per the statutory requirements. Also, as per statutory requirement the Independent Directors meet separately atleast once in a year.

a) Details of composition of the Board, category of Directorship, attendance at the Meetings of the Company along with information on other Directorship details of the Directors on the Board of the Company as on 31st March 2022:

Board of Directors is constituted in such a way that it strictly conforms with the provisions of the Companies Act, 2013 and the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The composition of the Board ensures a judicious mix of Executive and Non-Executive Directors as well as the combination of Independent and Non-Independent Directors.

As on 31st March 2022, the Board consists of eight Directors, of whom one is the Chairman and Managing Director, one is Executive -Non-Independent Director and six are non-Executive Directors. Out of the six non-Executive Directors, one is a Nominee Director representing Life Insurance Corporation of India ("LIC"), one Director is non-Executive non-Independent and rest of the remaining four are non-Executive Independent Directors. The Board also meets with the requirement of having an Independent Woman Director.